KEY TAX CONCEPTS

A tax is a mandatory financial charge or levy imposed by a government on individuals or entities (such as corporations) to fund public expenditures such as roads, schools, defense, healthcare and many other programs that benefit the community as a whole.

Tax vs a Fine: A fine is a tax for doing something wrong. A tax is a fine for doing something right.

- **Filing Status:**

Single; Head of Household; Married Filing Jointly; Married Filing Separately; Qualifying Widow/Widower

- **Standard vs Itemized Deductions:**

Standard deduction is a flat amount that reduces your taxable income, while itemizing allows you to list specific expenses (like mortgage interest or charitable donations) if they exceed the standard amount.

- **Tax Credits vs. Deductions:**

Credits directly reduce your tax bill dollar-for-dollar (e.g., Child Tax Credit), while deductions reduce the amount of income subject to tax.

- **Tax Brackets:**

US uses a progressive tax system – the tax rate increases as the taxable amount (income) rises. It imposes a higher percentage rate on high-income earners and a lower rate on low-income earners, based on the principle of ability to pay.

2026 Tax Brackets

Tax Rate	For Single Filers	For Married Individuals Filing Joint Returns	For Heads of Households
10%	$0 to $12,400	$0 to $24,800	$0 to $17,700
12%	$12,401 to $50,400	$24,801 to $100,800	$17,701 to $67,450
22%	$50,401 to $105,700	$100,801 to $211,400	$67,451 to $105,700
24%	$105,701 to $201,775	$211,401 to $403,550	$105,701 to $201,775
32%	$201,776 to $256,225	$403,551 to $512,450	$201,776 to $256,200
35%	$256,226 to $640,600	$512,451 to $768,700	$256,201 to $640,600
37%	$640,601 or more	$768,701 or more	$640,601 or more

- **Essential Tax Documents**

-W2
-1099-NEC; 1099 Misc; 1099-Int; 1099-Div; 1099-B; 1099-K; 1099-R
-1098; 1098-T
-1095-A

What determines how you're taxed?

1. Filing status
2. Tax bracket based on your income

Types of Taxes

- Income-based i.e. taxes based on income earned e.g. taxes on salaries & wages, interest, dividends, capital gains, etc.
- Payroll Taxes – paid on salaries, wages and self-employment income to finance *social insurance programs* – Social Security (6.2%) and Medicare (1.45%)
- Property taxes – based on assessed value of property – e.g. value of the home (real estate taxes) and value of vehicle or personal property – eg value of a car, truck, inventory, etc.
- Consumption Taxes – based on goods or services purchased e.g. sales tax and tariffs
- Death taxes e.g. estate taxes and inheritance taxes

- **Tax Penalties**
  - Failure to file – 5% of unpaid tax per month – capped at 25%
  - Failure to pay – 0.5% of unpaid taxes per month – capped at 25%
  - Combined penalty – when both failure to file and failure to pay apply, penalty is 5% per month
  - Accuracy related penalty – Usually 20% of underpayment due to negligence or substantial understatement of tax
  - Interest is charged on unpaid balances. Interest rate adjusted quarterly

- **Penalty Relief**

  You may qualify for <u>penalty relief</u> if you can show "reasonable cause" (e.g., casualty, disaster, or other-related circumstances beyond your control) for not filing or paying on time. Must have a clean filing history in the last 3 yrs.

Some Areas of Confusion

1. Child Tax Credit – normally ends the year your child turns 17 years, not 18 yrs
2. Head of Household – Cannot claim yourself as head of household. Must have a dependent.
3. Property Taxes – Are not refundable by the Federal govt.
4. Early IRA & 401K withdrawals are taxable. There is a 10% penalty for those below 59.5 yrs
5. Social security benefits may be taxable depending on other income earned.
6. Education Credit – Refundable portion is only $1,000.
7. Marketplace Insurance - Reconcile any advanced premium tax credits (APTC) received to lower monthly premiums with your actual final income for the year. If you received too much subsidy, you may owe money back, and if you received too little, you may get a refund.
8. If you are not ready by Apr 15th, file an extension.
9. A tax extension gives more time to file the taxes but not more time to pay the tax.
10. If you can't pay all the tax due, you can apply to pay by installment.

Types of Business Structures

- Sole proprietorship
- Partnership
- Corporation
- S corporation
- Limited Liability Company

Sole proprietorship

- Unincorporated - one person owns the business
- Simplest type of business organization
- Sole owner has complete control
- Owner assumes the risks to extent of all personal
- and business assets
- Capital limited to what owner can raise
- Files Form 1040 with Schedule C and Schedule SE

Partnership Proprietorship

- Two or more partners
- Partners contribute money, property, labor or skills
- Partners share in profits or losses
- Definite legal status

- Decisional authority divided .
- Liability of partners is usually unlimited
- Files Form 1065 and each partner gets a Form 1065, Schedule K-1

Corporation

- Legal entity - separate from its owner(s)
- Rights and duties of its own
- Owner(s) are stockholder(s) / shareholder(s). Have limited liability
- Transfer of ownership is easy - sell stock
- Subject to tax on income at corporate level – 21% flat rate
- Dividend income is taxed at shareholder level
- Files Form 1120

S Corporation

- Shareholders elect to have S Corporation status
- Profits or losses taxed like a partnership
- Files Form 2553, Election by a Small Business Corporation by the 15th day of the 3rd month of the year
- S corporation does not pay tax on income
- Income, losses, deductions and credit pass through to shareholders .
- Shareholders report income personal tax returns .
- Files Form 1120-S . Each shareholder gets Form 1120-S, Schedule K-1

Limited Liability Company

- Legal entity created under state law
- Owner(s) referred to as member(s) .
- Member(s) can have limited personal liability .
- Like a partnership, provides management flexibility and flow-through taxation
- LLC may be treated as a sole proprietorship, a partnership or a corporation .

Tax Myths

Common tax misconceptions include:

- Filing tax is voluntary
- Filing an extension increases audit risk
- You can deduct all expenses
- If you didn't receive a W2 or 1099, you don't owe taxes
- You can claim a pet as a dependent
- Gig work is not taxable
- Income from illegal activity is not taxable
- Tax refunds are free money
- You don't have money, so you don't have to file

“In America, there are two tax systems: one for the informed and one for the uninformed. Both are legal"

~ Judge Learned Hand – US Court of Appeals for the Second Circuit

Q & A